

promises to pay the possessor of the currency note an amount equivalent to the rupees stated in that currency note. The note actually has no value of its own. It is just a receipt from the bank promising to pay that amount worth of commodities. While cheque books are the kind of receipts where the value can be entered manually depending on what the consumer purchases, currency notes are receipts issued by the banks and promise to pay a fixed amount to the bearer of that currency note. As long as you trust this bank, you can continue to hold this currency note and trade other items for it.

When there is a trust deficit on the bank, you will see people going back to "actual commodities" like gold and silver rather than these currency notes and other form of receipts. This sets up an interesting context on how gold and equity markets behave opposite to each other, when the overall scenario is upbeat as opposed to when it is not.

Fractional reserve receipt money

As wealth increased through trade, banks became full of precious commodities such as gold, silver and gems. Bankers realized that customers had no use for these precious commodities and were comfortable trading with receipts.

Banks got greedier. To make more money, banks moved from "storing wealth" to "lending wealth," which means they started issuing money or receipts "without" any backing of commodities with them.

What it essentially meant was that they were now "printing" money. Since the central banks¹⁶ were making money from the interest received on the receipts they issued like currency notes (and not the actual commodities they held), they wanted to issue more and more receipts. More notes were being printed without any commodity backup, ultimately resulting in inflation.

So, in any country, the central bank could issue more and more currency notes and start earning from the interest received from those currency notes even if there was no backing for those receipts or currency notes by equivalent commodities. Therefore, the biggest change here was that while